

Finding FinCrime when we don't know what to look for

Financial criminals are becoming increasingly sophisticated, and so are the tools needed to catch them. Trust and transparency are key to successful deployment. Models that emphasize explainability and auditability can act as virtual teammates, working in partnership with their human operators.

Artificial intelligence is an essential tool in the fight against financial crime, but how do we learn to trust the AI super sleuth?

Understanding is the key. Fundamentally, AI is a crime-fighting partner, not a black box. Knowing how AI models work to detect FinCrime can help to demystify some common misconceptions and build trust.

Domain knowledge

The starting point for any good model is a basic understanding of FinCrime. To ensure quality outputs, we need to make sure that the model is working with good input data. Domain knowledge is critical to this process.

"Today's approaches to ML and AI are generally domain-agnostic, ignoring domain knowledge that extends far beyond the raw data itself," said the authors of the Argonne National Laboratory paper AI for Science. "Improving our ability to systematically incorporate diverse forms of domain knowledge can impact every aspect of AI."

Anomaly detection is at the core of FinCrime models and relies on the incorporation of such contextual knowledge. This starts with the basic characteristics of financial data, such as transaction size, currency, time, and location, through to more detailed characteristics and statistical relationships.

Machine learning helps to identify anomalies far more efficiently than is otherwise possible. Data scientists decide what features to input into a machine learning model, but they do not decide which features are important to the model. Anomaly detection models can determine the important features on their own.

Knowing that the model has been trained on high-quality data that has been prepared appropriately gives operators the confidence they need to trust its outputs.

Proprietary risk factor and pattern repositories

Because we can use the same risk factors and patterns with multiple financial institutions, the repositories we use grow over time.

We develop these factor repositories with domain experts. One example is Benford's Law, which can be a useful statistical technique to flag questionable financial transactions. To put it simply, Benford's Law says that the numeral 1 will be the leading digit in a genuine data set of numbers 30.1% of the time, while the numeral 2 will be the leading digit 17.6% of the time. Each subsequent numeral through 9 will be the leading digit with decreasing frequency.

This produces a distinctive distribution — it looks like a slide. These consistent distributions

appear in real-world data sets across domains, from stock prices to likes on social media. However, Benford's Law doesn't apply universally. It's important to understand the nature of the data set and the expected distribution of numerals. At Hawk AI, we have observed that many merchant transactions follow Benford's Law, so we added it as a risk factor. Now the model can detect transactions that don't follow these distributions and raise alerts.

Positive feedback loops

AI models learn as they are corrected. As more cases are reviewed by operators, the model gets better at detecting FinCrime. In this sense, AI isn't replacing human operators but working in partnership with them — a virtual teammate.

This is fundamentally different to traditional rules-based screening and transaction monitoring, where human operators repeatedly correct the same mistakes with little or no improvement in the overall result. As well as being fruitless, it can be boring, repetitive work.

With an AI model, the human operators are constantly improving the quality and accuracy of the output. The decisions that operators make are incorporated into the model itself. This doesn't just produce better results for the model, but also helps the human operators to trust the results of AI

and machine learning models. They know that their subject matter expertise played an important role in the results.

Explainability

Financial regulators are increasingly stressing the importance of explainable AI, and rightly so.

Trusting the outputs produced by an AI model requires that users can understand how it makes decisions. Indeed, this is a broad principle of AI in all sectors and not only FinCrime. As AI becomes more complex, rules around transparency and responsible development are a topic of growing significance.

At Hawk AI, our models produce natural language explanations for each risk factor when an anomaly is detected. In its role as a team member, the model supports the investigation by allowing human operators to look into specific transaction and risk factor groupings. The model generates these explanations in plain language that anyone can understand. Operators don't need to be specialists in data science to understand why the AI identified specific activities as suspicious.

Auditability

AI should be auditable as well as explainable, particularly as regulations around the use of AI in finance continue to develop. If a financial institution can't rely on AI solutions to provide results that regulators can audit, the solution isn't much use at all.

Auditability is also a powerful and important component of trust. Not only should a good model explain itself in plain language, but every decision it makes should also be logged and reproducible. This is a core feature of Hawk AI's models. Tracking artifacts show how the model was trained, why it made a certain decision, and why it gave the score it did. If an auditor asks a financial institution these questions, the model will provide the answers.

Model validation

Before any model is deployed, it goes through a validation process, which looks like this:

- Stage 1: Set strict criteria for model deployment.
- Stage 2: Set performance benchmarks for models.
- Stage 3: Compare new model iterations to previous models.

- Stage 4: Make adjustments based on the model's performance.

When FinCrime investigators know how a model was developed and validated, they can rest assured that it will generate reliable results.

Building trust

The effort that goes into developing and validating models creates the foundation for strong and effective partnerships with operators. Together, AI super sleuths and their human teammates can detect anomalies with unmatched speed, accuracy, and transparency.

With criminals now using their own AI, financial institutions of all sizes need to take the threat seriously. Rules-based transaction monitoring systems can't keep pace with the development of modern FinCrime. Catching these criminals requires a sophisticated suite of tools to detect anomalies as they happen. AI models can learn the techniques and spot them in the future, as well as detecting previously unknown risks, all while explaining what they're doing and why. All of this results in AI models that operators can trust to detect financial crime.

The Payment Flows of a B2B Marketplace

Making sure that marketplace payment flows move quickly, accurately and securely is fundamental to the success of a B2B platform. Working with fintech partners is the key to getting it right.

Managing B2B marketplace payments can be complicated. Trade purchases often involve large order volumes, high transaction values and long payment terms. Add in multiple currencies and international tax and regulatory considerations and it's easy to see how bottlenecks can occur.

To ensure a smooth payments journey, B2B marketplaces need specialised solutions and processes to handle complex transactions, manage credit risk, ensure compliance and win the trust of business partners.

Not every marketplace gets this right. It's estimated that just one-third of total B2B expenditures globally are processed electronically, opening the door to mistakes and delays. With 25% of sellers representing 88% of all marketplace revenue, such problems can be costly.

To avoid some of these pitfalls, it's helpful to understand all the different players and moving parts in marketplace payment flows, the common challenges that marketplaces face and the solutions you can employ to make everything work smoothly.

The different roles in a marketplace transaction

B2B marketplaces are made up of buyers, sellers and the marketplace itself, with payment service providers (PSPs) facilitating transactions.

Buyers initiate transactions by placing orders for the desired products or services and

authorising payment for the purchases made.

Sellers offer products or services on the marketplace, send invoices to buyers after receiving an order and arrange delivery.

Marketplaces act as intermediaries, providing a platform where buyers and sellers can connect. They facilitate transactions by hosting product catalogues, enabling order placement and often integrating with payment service providers to streamline payment processes.

Payment service providers (PSPs), including banks, payment gateways and fintech companies, ensure the smooth transfer of funds between buyers and sellers. They handle payment authorisation, fund transfer and often provide additional security measures to protect sensitive financial information.

HOW MONEY MOVES IN A MARKETPLACE

To better understand marketplace payment flows, let's break the process down into the different stages:

Order placement

Buyers browse the marketplace, choose desired products or services, and place orders. The marketplace confirms the availability of the items and generates an order summary.

Invoicing

Sellers receive the order details and generate invoices, including itemised costs and any applicable taxes or fees. These invoices are sent to buyers for payment authorisation.

Payment authorisation

Buyers review the invoices and authorise payment, either manually or through automated processes. The marketplace validates the payment details and confirms the availability of funds before proceeding.

Fund transfer

Once payment is authorised, the PSP facilitates the secure transfer of funds from the buyer's account to the seller's account. This may involve encrypting sensitive data, adhering to compliance regulations and confirming transaction settlement.

Reconciliation

The marketplace and PSP ensure that the transaction details, including amounts, fees and commission charges, are accurately recorded and reconciled.

THE TOP 3 PAYMENT FLOW CHALLENGES

As money moves through the steps described above, there are several challenges that can prevent marketplaces from achieving a smooth and secure payment process.

Payment delays

Various factors can cause delays, such as manual payment authorisation processes, technical glitches or issues with fund transfers. These can affect cash flow for both buyers and sellers, leading to dissatisfaction and potential disruptions in business operations.

International transactions

Cross-border transactions introduce additional complexities, including currency conversions, regulatory compliance and varying payment methods across different countries.

Security concerns

With the rise in cyber threats, ensuring the security of sensitive payment information is paramount. Marketplaces and PSPs must implement robust security measures, such as encryption, tokenisation and multi-factor authentication, to protect against fraud, data breaches and unauthorised access.

FINTECH SOLUTIONS

Platforms can address these challenges with fintech solutions that help to keep B2B marketplace payments flowing smoothly. The following are all areas where fintechs can help to support marketplaces.

Cross-border payments

International payment solutions simplify currency conversions,

handle compliance with regional regulations and support multiple payment methods. They can also handle payment authorisation workflows, multi-level approvals and comprehensive reporting.

Secure integration

APIs and enterprise connectivity solutions allow secure, seamless data exchange between marketplaces, buyers and sellers. This streamlines processes such as order management, invoicing and payment reconciliation, ensuring accurate and efficient payment flows.

Trade credit

Trade credit solutions allow sellers to offer extended payment terms without sacrificing cash flow. This ensures liquidity and working capital for sellers while offering buyers the payment flexibility they expect.

Such solutions can also mitigate credit risk, protecting sellers against non-payment or default by buyers.

Financial crime

Artificial Intelligence and machine learning algorithms can detect and prevent fraudulent activities in B2B payments. Advanced analytics and pattern recognition help identify suspicious transactions, without unnecessarily flagging legitimate transactions.

KEEPING PAYMENTS FLOWING

Payments are no longer an afterthought for marketplaces — they are now a key part of the customer experience and can be used to build trust and reputation, which are increasingly important qualities for B2B marketplaces.

Efficient and reliable payments can also be a crucial differentiator as marketplace competition grows and margins come under greater pressure.

Fintech providers are making it easier than ever for B2B marketplaces to unlock these benefits, helping them to drive growth to the next level.

Five ways multibanking is changing banking

The introduction of open banking rules in Europe in 2018 kickstarted a digital revolution in how consumers interact with banking services.

While the sensitivity of financial information means traditional banking services require siloed security systems that customers traditionally access through bank-owned branches, websites and apps, open banking has opened the door to a new era of multibanking.

Secure data flows let third parties verify account details, initiate payments and provide enriched analytics within a single interface that connects multiple bank accounts.

So, how is multibanking changing the way customers interact with their money, and why will open banking play such an important role in the development of multibanking solutions?

What does multibanking mean for financial services?

The digitization of banking has seen a transition from physical bank statements to online banking, but the ability to consolidate and control multiple accounts through a single interface represents a much bigger shift. Multibanking will fundamentally change the customer's relationship with financial service providers.

A handful of third-party providers (TPPs) have developed cutting-edge personal finance management apps that serve as a central node to connect multiple accounts. The ultimate goal of multibanking platforms is to become the go-to destination for customers to manage their funds and interact with their accounts.

As individuals and small businesses continue to harness the power of multibanking and cherry-pick financial products to suit their specific needs, traditional financial service providers must rethink how they build customer loyalty.

Five benefits of multibanking

Reducing direct engagement between end-customers and financial service providers gives customers a better financial overview and unlocks a host of benefits that can boost customer experiences.

Here are five key benefits of consolidating multiple accounts through a single banking interface:

1. Searchability.

Retrieving information about a specific transaction, spotting duplicate payments, or conducting an audit of historical transactions can be extremely time-consuming for customers with multiple accounts across a range of banking providers.

Open banking allows third-party multibanking providers to retrieve key account information and categorize transactions.

With consumers in the euro area making roughly 50 billion retail payments a year, searchability is vital to cut through the noise and stay in control of personal finances.

The ability to search across multiple accounts improves financial visibility and lets customers find exactly what they're looking for with the click of a button. Categorization and account

insights further help users to understand and manage their finances better.

2. One login.

Accessing multiple accounts through a single interface gets rid of the need to use different logins for individual accounts and simplifies authentication processes by providing a gateway to multiple accounts.

Open banking rules focus on data privacy and security. Approved third parties comply with strict regulations and use Strong Customer Authentication (SCA) to bolster verification measures and provide a stable foundation to support future open banking applications.

For users, the centrally managed security procedure enabled by multibanking means customers only need to deal with a single authentication process, which lowers the technical burden to access banking services.

3. Business insights.

If you're a small business owner, knowing exactly how your company's liquidity is developing on a daily basis is vital to manage resources and inform time-sensitive investment decisions.

While traditional methods of account reconciliation involve a time-consuming and error-prone process, open banking in Europe provides a universal option to automatically cross-check thousands of data points across a range of independent accounts.

Small businesses can harness the power of automatic account reconciliation to retrieve real-time statements from multiple banks and create an up-to-date snapshot of their financial status.

4. Seamless transfers.

Open banking payments facilitate seamless transfers between accounts in a safe and secure manner.

For example, if a business wants to make a cash injection into a certain department or an individual wants to pull money from a current account into a savings product, open banking supports fast and pain-free payments through a single interface.

For third-party financial service providers, partnering with an open banking platform that's part of an established banking ecosystem with international reach will reduce barriers to entry when engaging with new customers and boost conversions.

5. Cash flow management.

Poor cash flow management is one of the main reasons small businesses fail. Linking multiple business accounts to monitor cash flow in real time promotes sustainable growth by helping companies manage their debts and operate within their financial limits.

If your accounts are scattered across multiple banks, it can be difficult to anticipate cash flow and effectively manage spending. In an uncertain economy, cash flow management is more important than ever to give businesses the financial visibility they need to regain stability.

Experience Europe-wide connectivity with Klarna Kosma

Klarna Kosma's established ecosystem of European banking partners gives us both the technical capability and market exposure to support fintechs and TPPs with sophisticated open banking solutions.

We offer powerful tools to help financial innovators develop intuitive multibanking solutions with seamless UI flows. We also offer a white-label service so your business can reap the benefits of conversion optimization while also maintaining brand consistency with a bespoke on-brand front-end.

Kosma harnesses open banking to break down barriers in finance and improve connectivity between banks, TPPs and end-users. We're focused on simplifying open banking and connecting TPPs with the fastest-growing banking network in Europe. With a single API and just a few lines of code.

Learn more or request API credentials for Kosma's playground

Visit Klarna Kosma to learn more about open banking, schedule a demo or request your API keys for our playground environment. Let's connect and get started.

Improving the customer journey with embedded finance

Getting the customer experience right is critically important to building a scalable B2B e-commerce platform.

You can have the right product, at the right price, delivered to the right audience, but it might all count for nothing if you don't make the customer journey as painless as possible.

Zero friction

This has long been understood in the consumer world. Companies like Amazon have invested millions of dollars in getting rid of every possible point of friction that stands in the way of a sale. Their research into why customers abandon shopping carts has revealed a lot about how to build a zero-friction customer journey — and many of those lessons are just as valid in the B2C world.

Whether customers are shopping for sunglasses or freight forwarding, they want to be able to find the right product and pay for it with as little hassle as possible. And that last part has been one of the biggest obstacles to B2B e-commerce in the past. Building a website is easy, but offering the kinds of flexible payment terms that business customers are used to is much more difficult.

Flexible payments

Buyers who typically settle invoices after 30 days want the same flexibility when ordering online. A common solution has been to take a hybrid approach, allowing buyers to order online but asking them to call the merchant or submit documents if they want flexible payment terms.

You don't need to be Jeff Bezos to see how this creates friction. Every extra step the customer has to take will result in missed revenue. And vice versa. Every step you can get rid of will improve your sales conversion numbers.

Just like buy now-pay later services on B2C websites, the solution for B2B platforms is to embed net payment options at the point of purchase, making it as convenient as possible for the buyer to complete a transaction using data they have already provided through their onboarding and purchasing history. Instead of having to go to an insurance broker to insure the transaction or a factoring company to get an

advance, everything happens on the merchant's website.

This has several benefits:

- **Less friction** – Removing the number of manual steps in the buying process makes buyers more likely to convert and to keep coming back.
- **Improved loyalty** – Providing access to a line of credit helps to build a trust relationship between buyer and seller, which improves customer loyalty to your business. We see buyer retention grow by 40%.
- **More customers** – Combining a variety of data sources improves the ability to screen buyers and increases the acceptance rate for payment terms.

At Sprinque we offer all the above functionality through a simple integration. In addition, by paying the marketplace or merchant at the time of the final invoice, we reduce the risk of default and free up valuable working capital.

Modelling good behaviour

Focusing on good customers is key to a more effective transaction monitoring process.

Transaction monitoring has become an endless arms race that's costly, cumbersome and produces very little in the way of results.

It's time for a rethink. Instead of fighting a losing battle trying to model criminal behaviour, as we're used to, why don't we model the behaviour of good customers?

Training a model to catch financial criminals is like trying to find a needle in a haystack — except the needle is constantly changing to avoid being found. A much more effective approach is to train your model to recognise the hay.

After all, there's substantially more hay than needles and it has no incentive to change, making it much more predictable. The model therefore doesn't need to know what needles look like — it just needs to know whether something isn't hay.

It's easy to be surprised by new and emerging types of crime when you're only focusing on known criminal phenomena. Criminals are trying not to get caught!

This is why we talk about modelling good behaviour. What can you

expect in a situation from a totally legitimate customer?

Look at the haystack, not the needle

Instead of trying to spot criminals, this approach focuses on normal customer behaviour with a model that's trained on legitimate transaction data.

This might sound simple, but it works. Looking at customers instead of criminals shines a light on previously undetected patterns. Banks that have implemented this type of model have often substantially increased their number of previously undetected crimes and cut their false positives by 80%.

This rethink also brings other benefits. Instead of relying on dozens of incomprehensible rules, being tweaked and tuned over time, this risk-based approach is more straight forward and therefore easier to explain to regulators. Think white box, not black box.

Compliance costs

The stakes are high. Most news on transaction monitoring has been about banks incurring fines, but that's only the tip of the iceberg.

LexisNexis estimates the global cost of AML and sanctions compliance to be more than \$210bn a year. Most of this money is spent on cumbersome administrative processes targeting totally legitimate customers while doing their daily business.

Despite these staggering efforts, criminals continue to thrive by finding the loopholes in the system. It can seem impossible to keep pace with how they're operating, leading to an endless cat-and-mouse game with very limited (and expensive) results.

By focusing your model on the good customers, you can once again re-focus your efforts on the real criminals, rather than the other way around.

Start modelling good behaviour today

Want to know more about how this approach can increase protection and drastically reduce false positives of your existing monitoring system? Get in touch and we'll be happy to discuss solutions.

Why corporate buyers are embracing the online revolution

Digital tools are revolutionising middle-market M&A.

Finding large volumes of relevant deals is easier than ever before thanks to a new generation of digital tools. These innovative solutions are making it possible for smaller companies to implement strategies such as programmatic M&A, which were once only available to large players.

The traditional approach to M&A relied on old-fashioned networking and endless “catch-up” meetings to maintain brand awareness and secure a pipeline of potential acquisitions. This approach has always worked much better for large corporations. Smaller corporate buyers either missed out on the best opportunities or had to devote disproportionate resources just to get a foot in the door.

This is changing fast and is even accelerating in the wake of the Covid-19 pandemic. M&A is no longer about who you know — it is about the tools you use. And, more important, those tools are now available to a much wider audience.

Leveraging matching algorithms, cloud services and secure communications, online platforms are introducing new levels of efficiency to the M&A process. That means deals move faster, more smoothly and are less expensive to complete. It also means they fail less often.

Brand pull

Amplifying your M&A brand online provides the best opportunity to bring your ambition, capital and skills to the table. This is one of the main reasons why companies are

embracing digital platforms to take their M&A to the next level.

There is an obvious network effect from such platforms that works to the benefit of everyone involved. Connecting with an international community of active dealmakers who are always on the lookout for the next deal maximises the chances of success for corporate M&A teams. It also reduces many of the costs, frictions and pain points that have hampered M&A in the past.

Whether looking to buy or sell an asset, access to a highly engaged network of brokers, investment firms and other corporate M&A teams ensures visibility for your M&A brand.

Companies can also showcase their leadership through such platforms. Dealsuite members can take part in sector meetings that draw on the largest M&A community in Europe, with more than 4,000 engaged M&A professionals.

Market intelligence

Active acquisition strategies are supported by market intelligence that allows M&A teams to spot industry trends, analyse and compare potential targets, and refine opportunities. Armed with clearly defined investment interests and criteria, companies can gain access to a large volume of relevant dealflow.

Teams are notified every time a deal comes to market that matches their criteria. This can include everything from sector and geography to more finely tuned screens that look at earnings,

growth and details about the size of stake on offer and type of transaction.

Matching algorithms guarantee that only the most relevant deals are placed in front of corporate buyers. This technology makes it easy to review opportunities and stay abreast of the market with minimal effort.

This is allowing M&A teams to become much more strategic about M&A, even at the SME level. Instead of throwing all their eggs into one basket with large, heroic acquisitions, companies are using these real-time analytic tools to identify smaller opportunities. This means they can acquire assets that are much more targeted, easier to integrate and immediately add value — and they can do so more often.

Agility is key in the modern M&A marketplace and accurate intelligence is essential in providing the confidence to move quickly on opportunities when they arise.

Communication

Of course, finding opportunities is only the first step. Open channels of communication are also vital to converting those potential opportunities into deals. This is where platforms such as Dealsuite.com come into their own, providing proprietary, exclusive contact about potential deals. Corporate M&A teams can enter into direct communication with the right people about relevant deals.

This also works in the opposite direction. Based on a company's listed M&A preferences, sellers and their advisers can reach out to

potential acquirers or investors with proposals directly.

A sophisticated M&A strategy will also involve divestitures and the ability to conduct direct market outreach to relevant professionals is a valuable resource. This can significantly reduce the time it takes to close a sale, minimising the cost and disruption of shedding non-core assets.

Execution

Once a deal is underway, getting it across the line efficiently is the priority. The best-in-class data

room from Admincontrol by Visma is the industry's most trusted resource for managing transactions. It is available to Dealsuite members, providing a user-friendly and secure platform for due diligence, document review and secure messaging.

"We recommend Admincontrol's data rooms to our clients because it is a highly secure data room," says Kristin Bratengen, director at Oaklins. "Both the administration and monitoring of the data room is

simple and it is also very easy to use for first time users."

Closing

One of the founding principles at Dealsuite was to make the M&A process more effective so that buyers and sellers can close more deals. As an active community founded by M&A professionals and advised by a board of industry specialists, the platform is continuously being developed with security at its core.

At Dealsuite, we are your trusted partner for the future.

Open banking makes game-changing ideas powerfully real

Conor Tiernan, UK & Ireland lead for Klarna Kosma, recently shared some of his thoughts on how open banking is changing the way that online businesses operate.

Open banking is making payments cheaper and faster, and enabling businesses to get better insights into customers' banking data to make better decisions.

Online businesses can take payments from customers in many ways. But some of them are quite costly. That's where being able to embed a pay-by-bank solution quickly and easily into your website can cut costs and get the funds to you sooner, meaning you can deliver goods or services quicker.

How businesses benefit from open banking

Let's say you're an insurance provider. To provide the best policies to your customers, you want to understand more about them. Letting them quickly and easily connect their bank account is a great way to do this. You can understand their spending history and get a clearer picture of their financial habits, which you can use to arrive at a quicker and better-informed decision. And that's good for customers too. As an insurer, you want to make sure that your customers always have the right amount of cover for their needs. With open banking, you can make this happen.

If it sounds too good to be true...

Of course, there are some challenges when it comes to implementing open banking. These are the big ones:

- **Going global.** When you start in your home market, it's relatively straightforward to connect to the banks. But it's a completely different ballgame

as soon as you step foot in the international market. You need to consider all the different countries and banks you need to connect with and there are additional licenses that you need to look at as well. It can be a huge headache.

- **Integration.** Integration is not necessarily too complex on a bank-by-bank basis, but there are potentially 6,000 banks that you need to connect with across the EU alone. That's where the integration side can get complex quickly.
- **Raw data.** Once you've built out your international strategy and integrated with all the banks you want to, now what? You've got a bunch of raw banking data, but that's not very useful by itself. What you want is enriched banking data, so now you've got another major project to undertake before you end up with something useful.

Solving the challenges

Working with a partner that's got a long track record is the key to overcoming all these challenges.

Klarna Kosma is unique because we've been connecting to banks since 2005 — and connecting to banks is what underpins open banking. We've got a huge amount of experience. We process hundreds of millions of bank payments each year over open banking. We enable customers to connect their bank accounts and carry out billions of open banking data sessions.

When you start working with Kosma, what do you get from day one? We give you the gateway to the world. We enable you to connect with bank accounts globally, so that you don't have to. Kosma has taken care of all these headaches for you.

Furthermore, our single API gives you a quick and seamless integration, meaning that you can reduce your costs because you don't need an army of engineers to maintain all these costly bank connections.

On top of that, we've built this enrichment layer that gives you the ability to provide insights. We've got an intelligence engine that gives you the categorization, the insights, and helps you generate reports.

All this is something that we've understood ourselves after being around so long. And that's why we put it into play and that's why Kosma is the go-to partner for open banking.

What is Klarna Kosma?

Kosma itself is an open banking provider. You might be interested to learn that we also provide the infrastructure to other open banking providers. Why would we do that? We do it because we have the widest reach in terms of bank connections and we want to enable others to bring wonderful open banking solutions to market. We provide the infrastructure, we've got the experience, we've got the products, and we've got a single API that opens the door for you as a business, a lender, or another open banking provider.

The role of trust and reputation in B2B marketplaces

Business buyers want the ease and convenience of consumer marketplaces, but with lower risks.

The online B2B experience is increasingly consumer-like, with many business buyers now expecting a flawless digital journey. But the stakes are much higher on B2B marketplaces than for consumer platforms, which means there's a huge emphasis on trust and reputation.

Getting this right can really pay off for B2B marketplaces. Business buyers are increasingly willing to make large purchases online, with McKinsey reporting that around 70% of decision makers are willing to spend up to US\$500,000 on a single online transaction. And a rapidly growing number of businesses say they're comfortable up to US\$10mn.

Building this level of trust and reputation takes time, but it also starts with the first click. A customer experience that's flexible, saves time and cuts risks will drive growth. Indeed, Bain's B2B Elements of Value show that ease of doing business is central to winning customer loyalty — even for large purchases.

BUILDING TRUST IN B2B MARKETPLACES

Trust is hard to win and easy to lose, especially in highly competitive sectors. Businesses tend to be loyal customers when everything is going smoothly, so it pays to invest in building and maintaining trust.

The basic elements of a trusted marketplace are simple:

- **Buyers and sellers are who they say they are**

Verification and authentication are the cornerstones of a trusted marketplace, allowing buyers and sellers to transact without worrying about vetting each other. Attracting established, reliable suppliers can also add credibility and instil confidence.

- **Payments arrive on time**
Fast, secure payments are essential. When sellers get paid upfront, they immediately start trusting the marketplace. That's why Hokodo guarantees marketplaces receive 100% of the payments they're owed, even if buyers are unable to pay us. This covers fraud, non-payment, clawbacks and insolvency.
- **Private data stays private**
Protecting sensitive business and customer data requires robust security measures. Strong data security practices aren't always visible to customers, but failures will be.
- **Highlight social proof**
Positive reviews, testimonials and success stories from existing customers help potential customers feel confident about engaging with the marketplace.

THE IMPACT OF TRUST ON CUSTOMER INTERACTIONS

When buyers and sellers trust each other, it fosters collaboration, reduces transaction costs, mitigates risks, and encourages loyalty and repeat business,

leading to mutual benefits and sustainable success for everyone.

Less risk

Most businesses are inherently risk averse. B2B transactions often involve large sums and long-term commitments, so trust reduces the perceived risks and encourages more transactions. Buyers are more willing to purchase from sellers they trust and sellers will go further to meet customer expectations when payment certainty is high.

Lower transaction costs

The cost of doing business is lower when buyers and sellers trust each other. A marketplace that inspires confidence means that buyers and sellers are comfortable committing to purchases with fewer checks. Marketplaces can command a share of these cost savings through premium pricing.

Enhanced collaboration

Trust encourages buyers and sellers to work together, encouraging them to share information, resources and expertise more freely. This can flow into smoother conflict resolution too.

A foundation of trust allows for more open communication and a willingness to find mutually beneficial solutions, which means that many problems can be resolved without the marketplace owner needing to get involved.

REPUTATION MANAGEMENT IN B2B MARKETPLACES

Trust is at the core of the relationship a marketplace

establishes with each customer, whereas reputation is the external perception of the business. As such, it is more difficult to manage and requires a consistent approach to business standards, customer service and communication.

Establishing a positive reputation

Transparent and ethical practices are what Bain calls “table stakes” in the B2B sector. It’s important that these are at the heart of a marketplace’s values.

Beyond that, marketplaces should aim to consistently and promptly address customer concerns, treating every interaction as an opportunity to establish a reputation for customer-focus and great communication.

How reputation drives success

Marketplaces are growing quickly and a strong reputation is often a key differentiator. In the US, more than 90% of sellers already conduct at least some of their business through marketplaces, but in Europe marketplaces are in a more nascent stage. That creates an opportunity to build reputation and capture market share.

Managing and leveraging online feedback

The consumerisation of B2B means that business customers are turning to social media, review sites and other forms of social proof to establish confidence in the way that consumers have done for years. Marketplaces are embracing this by sharing good reviews, customer testimonials and case

studies, while also closely monitoring online feedback and social media mentions to spot emerging problems and address them quickly.

Trust and reputation as competitive advantages

Amazon established its market position by starting out with a very clear focus on putting customers first. Similarly, B2B marketplaces can stand out from their competitors by prioritising trust and reputation.

Trust and reputation not only drive business growth, but also attract and help to retain talented staff — and a skilled workforce contributes to a marketplace’s competitiveness and ability to deliver exceptional customer experiences.

Finding the sweet spot

How to strike the right balance between compliance and conversions.

INTRODUCTION

Striking the right balance between customer experience and a fully compliant onboarding process is an increasingly tough challenge for fintechs. Organizations focused on agile growth often seek to prioritize a seamless user journey that maximizes conversions while minimizing friction. Getting it right is difficult.

Onboarding customers while satisfying requirements for anti-money laundering (AML), fraud screening, data protection, and account authentication can be complex, expensive, and negatively impact the user experience. Inevitably, compliant processes add friction and detract from fintechs' ability to respond and adapt to market opportunities.

Customers care about security and privacy but also have high expectations regarding user experience. Is it possible to have it all?

At Fourthline, we have demonstrated experience that it is. In this Whitepaper, we outline the common challenges fintechs face when balancing compliance and conversions and our recommendations for finding the sweet spot.

Common challenges

There are many ways for fintechs to strengthen their compliance, but most methods are complex and lead to a variety of negative outcomes, such as:

- Slow onboarding leading to customer dissatisfaction

- Poor conversion rates leading to a lack of competitiveness
- Colossal compliance investments leading to business rigidity
- Strategic inflexibility slowing growth and scaling goals
- Risk exposure leading to fines and reputational damage

In this section, we've laid out **today's three most significant challenges** when balancing compliance and conversion.

CHALLENGE 1: Extreme regulatory complexity leading to fines and reputational damage

Identity verification is not a single event anymore; it's a journey from customer onboarding and authentication to account recovery. Know Your Customer (KYC) onboarding helps to prevent financial crimes and protect against fraud. Anti-Money Laundering (AML) and fraud screening are designed to detect and prevent financial crimes. Account authentication helps to ensure that only authorized individuals have access to customer accounts. Finally, re-KYC helps fintechs periodically verify their customers' identities to ensure that their information is up-to-date.

On top of KYC-AML-focused regulations, European fintechs must comply with EU regulations such as the Second Payment Services Directive (PSD2) and the

General Data Protection Regulation (GDPR), among others.

For fintechs, balancing conversions and meeting all these regulatory requirements is a considerable challenge, as it is time-consuming, costly, and often requires extra resources and investment.

Additionally, in Europe, each country has defined specific rules. This situation creates immense regulatory fragmentation. It adds complexity for fintechs seeking to comply with the rules of several member states and usually ends up slowing down their European expansion

Lastly, governments and regulatory authorities are constantly updating and revising these regulations. Fintechs need to stay updated with these changes to avoid huge fines or reputational damage. However, as relatively new players in the financial services industry, they often don't have the same resources or knowledge to keep up with these changes.

CHALLENGE 2: Colossal compliance investments leading to strategic rigidity

Implementing a streamlined and efficient KYC process is one of the most critical steps in balancing conversions and compliance. This can be achieved using technology such as AI-powered ID verification, which has proven to speed up the account opening process and drive

conversions while ensuring compliance with regulations.

Implementing such technology requires a significant investment in IT, compliance, and legal expertise. This is a challenge for fintechs, particularly the ones with ambitious time-to-market and operational efficiency goals.

Moreover, balancing conversions and compliance in this area can also be challenging as **new technologies and standards constantly evolve and are costly to implement.** For example, a neobank may have to implement the latest security standards to comply with EU regulations and to secure customer data, which will lead to added costs, time, and effort.

Consequently, **such major investment impacts fintechs' flexibility.** Implementing a streamlined and efficient KYC process does require an organization to attribute a lot of

resources to fraud prevention. Unless its financial and people resources are vast, this move can impact the organization's ability to rapidly change its strategy or adapt its risk appetite when necessary.

CHALLENGE 3: Poor conversion rates leading to a lack of competitiveness

High conversion and high growth ambitions trigger a lot of fraud.

This is why European fintechs must balance the need to make their digital platforms user-friendly and easy to navigate with the need to ensure that the platforms are secure.

The challenge? Adding too many security measures can make the platform less user-friendly and deter potential customers. The more steps in a conversion funnel, the more opportunities customers have to drop off.

Fintechs must also set up a secure environment to protect customer data and funds. It's not just about identity fraud at onboarding. Making sure their customers' data and funds are protected can also add too many security measures, making the platform less user-friendly. At the same time, too few security measures can result in hefty fines and a loss of customer trust.

The most common misconception about introducing identity verification is that it increases hassle and reduces conversion.

While too much friction is bad for your conversion rate, a well-designed user experience that is simple for customers to complete will not cause visible enough difficulty to discourage new customers. So, rather than being a must, if done correctly, KYC verification and account authentication may be used to deliver better service to your customers.

COMPLIANCE REQUIREMENTS

The continuing battle against financial crime is the main driver of regulation. Criminals constantly imagine new innovative methods of fraud and money laundering. Consequently, EU member states have to adapt their regulatory framework. European financial institutions have been challenged to strengthen customer identification processes and customer relationships across the whole lifecycle.

Throughout Europe, regulators require financial institutions to adopt robust procedures to identify customers, assess potential risks, and perform continuing risk monitoring.

This creates a compliance and operational burden that requires fintechs to put in place:

Proper identity verification

Financial institutions are under growing pressure to verify identities and ensure that customers are who they say they are.

Effective watchlist screening

Failure to check customers properly against lists of politically exposed persons, sanctions, and adverse media reports carries potentially significant penalties.

Strong fraud detection

Financial criminals are constantly developing new techniques,

making it increasingly difficult to protect against fraud.

Comprehensive customer due diligence monitoring

The requirements above don't stop with onboarding. Financial institutions need to continue to monitor customers over time.

European governments and regulatory bodies have taken different approaches to how they want financial institutions to implement these compliant requirements. The following section focuses on Germany, France, and the United Kingdom to highlight the differences in approach from one country to another.

COMPLIANCE CHECKLIST

GERMANY

AML: Anti-Money Laundering Directive (GwG), EU AML Directives

Data protection: Federal Data Protection Act (BDSG), EU GDPR

Electronic payments: Payment Services Supervision Act (ZAG), EU PSD2

While AML rules in most of Europe are broadly based on the same EU directive, there are differences in how they are implemented. The German regulator in particular is more conservative than its counterparts in other European jurisdictions. As a result, video verification is the most commonly used KYC method.

Identification methods that meet national requirements in Germany include:

- In-person identification (Post Ident)
- Video verification (Video Ident)
- Electronic proof of identity (eID)
- Qualified electronic signature (validated through an electronic payment)

General KYC requirements include:

- Identify the customer
- Evaluate and monitor the nature of the business relationship
- Assess the customer's risk including establishing if the customer is a politically exposed person

FRANCE

AML: Monetary and Financial Code, EU AML Directives

Data protection: Act No 78-17, EU GDPR

Electronic payments: Law No 2000-230, EU PSD2

The French regulatory system prescribes a relatively limited list of approved forms of identification that can be used for digital onboarding. While this approach is more flexible than the German system, it is still complex and less straightforward than the UK's regime.

According to the National Cybersecurity Agency of France (ANSSI), digital identity can be verified directly using:

- Electronic proof of identity (FranceConnect+, l'Identité Numérique)
- Providers certified by the ANSSI
- Software certified by ANSSI

Otherwise, identity can be verified by combining at least two of the following measures:

- Obtain a copy of an official identity document
- Verify and certify an official document through an independent third party
- Require first payment be made with an account opened in the client's name
- Confirm the customer's identity through an approved third party
- Use an ANSSI-compliant service to verify the identity
- Collect a qualified electronic signature

UNITED KINGDOM

AML: Proceeds of Crime Act 2002; The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017

Data protection: Data Protection Act, UK GDPR

Electronic payments: Payment Service Regulations

The Joint Money Laundering Steering Group indicates in their AML guidance that additional verification checks should be applied to manage the risk of impersonation fraud in case of non-face-to-face KYC, such as:

- Verify biometric data
- QES
- One cent transaction (UK or EU)
- Telephone contact
- Mail by post
- Internet sign on using security codes/tokens provided by mail to a verified address
- Certify copy of ID document

The UK regulator takes a risk-based approach to KYC, requiring that firms have sound processes in place, but there are no laws or rules that prescribe specific measures.

Broadly speaking, fintechs need to meet three basic KYC requirements:

- Identify the customer
- Verify the customer's identity
- Assess and monitor the nature of the business relationship

BEST PRACTICES

Few fintechs prioritize compliance early in their journey when the focus is usually on product development and growth. Even when they get around to thinking about it, too many see compliance as a box-ticking exercise and implement low-quality solutions that don't perform well.

Unfortunately, this approach leads to hefty fines, reputational damage, costly legal battles, and business closure.

To avoid such pitfalls, fintechs can implement the following three best practices:

Develop a compliance mindset early

While regulatory scrutiny may be lower in the early stages of a fintech's growth, good compliance practices will yield dividends as the business grows. It also helps you get ahead of the curve when compliance requirements intensify.

Focus on efficiency and flexibility

Implement solutions that can scale quickly in line with growth plans, have low up-front costs, and don't incur high expenses for unused capacity.

Harness automation, technology and outsourcing

Don't reinvent the wheel. Take advantage of solutions that address your operational needs, allowing you to deploy your resources where they can add the most value.

Fintechs that follow these principles have proved that an onboarding process can be efficient, seamless, and simple while meeting all regulatory requirements and preventing fraud.

What's the best way for fintechs to implement these best practices? Working with the right partner.

CHOOSING A PARTNER

The key to maximizing conversions is working with a provider who understands your needs. So what should you consider as a European fintech if you're looking for a compliance partner?

United

The specialist you choose should work with your teams as a true partner rather than a KYC provider. It should help you meet all your compliance needs at onboarding and across your clients' entire lifecycle. It should take care of your compliance so you can focus on your business.

Secure

Your partner should guarantee excellence in fraud prevention

without compromising on conversion.

Scalable

You don't need to trade growth for compliance. Your partner should offer a dynamic solution that adapts to your specific needs as you grow in size and/or expand into new markets.

Ready-to-use

Partnering with a specialist that offers a single API that integrate seamlessly with your technology will ensure your business complies with all regulations without navigating multiple systems or providers. It also helps to reduce the time and cost associated with compliance.

Streamlined

Partnering with a specialist that offers a service designed with the customer in mind will ensure your organization provides the smoothest customer experience and better conversion rates.

At Fourthline, we have demonstrated experience that prioritizing these points helps European fintechs increase their growth and fraud prevention while strengthening resilience and flexibility.

Get in touch with our experts to learn more about our approach and what our partnership could do for you and your business.

The UK payments landscape

Contactless payments have surged since the pandemic, accelerating a trend that was already underway thanks to the UK's advanced payments infrastructure.

There is no doubt that Covid-19 and social distancing have permanently transformed the UK payments landscape. After the third lockdown ended in March 2021, people returned to shopping in physical stores and visiting pubs and restaurants, but they continued to prefer contactless payments.

As a result, contactless payments surged by 36% in 2021 and were used for more than one-in-three payments. While this is a significant change from before the pandemic, when one-in-five payments were contactless, the pandemic has only served to accelerate a trend that was already underway thanks to the UK's advanced payments infrastructure.

From January 2020 every bank-issued payment terminal in the UK was capable of accepting contactless payments, while the limit for contactless card payments was increased to £45 at the start of the pandemic and further increased to £100 in October 2021.

Of the 157m debit and credit cards in circulation at the end of 2021, 142m or 91% had contactless functionality, up from 82% at the start of 2020.

While digital wallets such as Apple Pay, Google Pay and Samsung Pay were widely accepted before the outbreak of Covid-19, public acceptance of the technology has gained significant momentum during the past two years.

Cheque clearing completed the shift from paper to digital imaging in October 2019, while the Faster Payment Access Programme launched in 2014, allowing non-

bank payment service providers to directly connect and settle real-time payments.

Online retailers were also able to respond quickly to the pandemic thanks to the UK's well-established logistics sector and good transport infrastructure. Online card payments made up 11% of all payments in 2021, up from 7% in 2020.

The end of Covid restrictions has seen a shift from online to contactless payments as life returns to normality, as well as a small bump in the use of cash. In the summer of 2021, ATM network Link asked people about their use of cash, when 33% of people said they had not used cash in the past two weeks. That figure had fallen to 27% by January 2022.

The newest form of payment to be recognised in official statistics is buy-now-pay-later and bank/retailer financing at the point of sale, which increased to 5% of payments in 2021, up from 4% in 2020, which was the first year the data was recorded.

Cards

Card transactions rebounded significantly during 2021, both in the value and volume of transactions. There were more than 20.5bn card payments during the year, up 18% from 2020, while the value of card transactions increased by 12.5% to £790bn, according to UK Finance, the trade association for the UK banking and financial services sector.

Debit cards were responsible for most of the growth in the number of card payments, increasing by 21% to 17.5bn. This was

accompanied by a fall in the average value of transactions on debit cards to £34.50 in 2021 from £37.10 in 2020. The average value of credit card transactions increased during the same period to £56.20 from £53.60.

Another notable trend in the aftermath of the pandemic has been a surge in the use of contactless payments as people return to physical stores. In 2021, contactless payments increased by 46% to £166bn and now make up 21% of all card payments. Online card payments grew by 15% to £289bn and comprise 37% of card payments.

The total number of cards grew by 1.1% to 157m during 2021, though this small change masks a relatively large shift in the share of debit cards to credit cards. In 2020, debit cards made up 59% of the market, but in 2021 this share increased to 62%.

ATMs

The number of cash machines in the UK has been falling since 2017, though the number of ATMs on the Link network remained stable in 2021. At the end of the year, there were 53,400 machines, which was roughly 500 machines fewer than at the start of the year.

Between July 2018 and February 2022, the number of ATMs in the UK fell by 12,968 or 20%.

"ATM use will never return to pre-pandemic levels," according to Graham Mott, director of strategy at the Link ATM network. "People who perhaps were using less cash generally are now entirely comfortable using their phones or contactless."

Faster Payments

Real-time payments using the Faster Payment Service (FPS) reached a record in 2021, according to Pay.UK, the operator and standards body for the UK's retail interbank payment systems. The number of payments processed increased by 20% to 3.4bn, while the value of payments rose by 24% to £2.6tn.

FPS is the only true real-time payment scheme in the UK. It allows payments of up to £1m (increased from £250,000 in February 2022) to be sent instantly through multiple channels — online banking, mobile banking apps, telephone banking and over the counter.

At the end of 2021, there were 38 banks and other directly connected participants providing access to FPS.

Cash

Cash payments continue to decline, making up around 15% of payments in 2021. As recently as 2010, cash payments were more

than half of all payments in the UK. Even before the pandemic, debit cards had displaced cash as the most popular form of payment.

Cash withdrawals recovered slightly after the second lockdown at the end of 2020, but the total value and volume of withdrawals in 2021 was lower than in 2020 as the preference for cash has fallen. The ATM network still averaged £1.5bn of withdrawals a week in 2021, but this is down from more than £2.2bn in 2019.

Cheques

The use of cheques in the UK fell dramatically during the pandemic as customers moved to electronic payments. Cheque volumes dropped 40% during the national lockdown in 2020. In 2021, the value of cheques processed through the image clearing system fell by a further 12% to £202bn.

However, 44% of current account holders still write at least one cheque a year, according to a survey published by Pay.UK in January 2022. Even among the

over-65 age group, the number of people still using cheques occasionally is just 55%, down from 72% in 2014.

Businesses are more likely to write cheques, with 78% saying they write at least one cheque a year. On average, businesses write eight cheques each year.

Fraud

Criminals stole more than £1.3bn through fraud and scams in 2021, according to UK Finance. Theft from unauthorised fraud, where the accountholder does not provide authorisation and the transaction is carried out by a criminal, was £730m. Authorised push payment (APP) fraud, where the customer is tricked into authorising a payment, was £583m.

There were 200,000 incidents of APP scams in 2021, involving £215m lost to impersonation scams, where criminals impersonate organisations, £172m lost to investment scams and £64m in purchase scams.